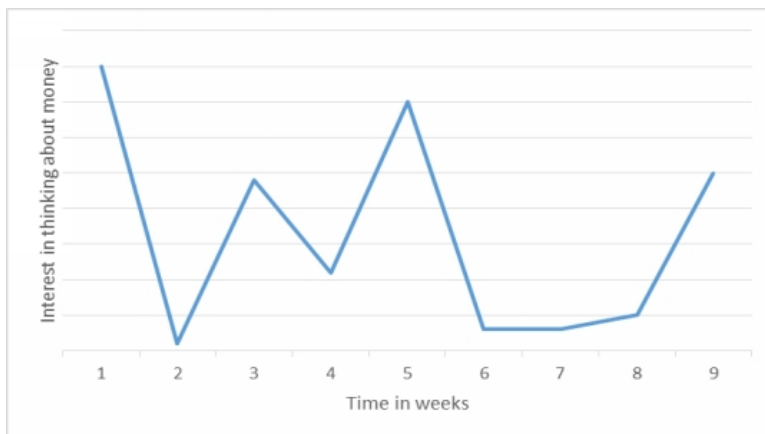


One of the main reasons to be savvy and plan years ahead is that you can counter the inflation demon. India, being a developing country will have inflation at the high end of single digit score compared to other countries. Yes, we've all gotten a raw deal over this one but it's nothing compared to the hyperinflation of 1920's Germany or present day Zimbabwe.

To give you a simple example: let's say your grandma pops to the bank, opens a FD (Fixed Deposit) of 1000 at 10% interest. After one year, the money will compound to 1100. Inflation being the demon, will bring the cost to 80 (if it's 8%). Your gain is now only 20. In essence, your grandma believes that she's gained 100 for keeping a FD, whereas in-fact she's made only 20. Add taxes, handling charges of the bank and you'd barely break even.

But, there is a way to exact revenge which takes a combo of strategy, patience and panache. The answer lies in compound interest over a long period of time that inflation can't catch up with its lower interest year-on-year. (We will deal with this in detail, later) The more pertinent problem is: if you'd draw a scale of my interest in money-management plotted against time, it'd probably look like this:



It flows and ebbs for a continuous period. Looking back, the first introduction to money management came during my first job as an intern. The only escape or respite I got during 14-hour work days, was taking my phone to the bathroom and reading up blogs under the guise of '*an upset stomach*'. Dashing to the nearest washroom I'd read a blog-post or two, come back to my workstation and feel proud.